

elder people in India being much higher than the more developed regions and many less developed regions too. In 2000, 52.7 per cent of our male elders were in the labour force compared to only 12.6 per cent in more developed regions and 40.5 per cent in less developed regions. Social security expenditures constituted around 3 per cent of the GDP, of which the share of pensions is almost half. Only 5 per cent of the country's labour force and 2 per cent of the population is covered under pensionary benefits. The NSS Survey shows that 79 per cent of the rural elderly have no access to any retirement benefits.

Most responsibilities of the old rests in the hands of their families. The state took advantage of the wide adherence to filial piety, where caring for elderly parents is regarded primarily as a family responsibility, an unavoidable part of a contract between the generations. Hence, despite the constitutional provision in Article 41 which recognises the needs of the elderly and enjoins upon the state the responsibility of making effective provisions for public assistance in old age, the state did not come forward with effective programmes and policies for supporting the old. The low profile approach of the state on this front is, however, better than a state which becomes proactive for the elderly for a few years and then walks out of its responsibilities. The prevalence of such government support programmes, albeit unsatisfactory, may make the children shy of supporting their aged parents. In USSR, the state created enormous facilities for the elderly, but with the country's demise, as the newly republic countries proceeded towards market system, the social security network collapsed along with the health system. In the Russian Federation, male life expectancy dropped to 58 years in 2004 from 66.5 years in 1991 due to resurgence of diseases like HIV/AIDS, TB, the rise in self-destructive behaviour and an alarming rise in infant mortality.

In 2007, the Maintenance and Welfare of Parents and Senior Citizens Act was passed to impose a few disincentives on the children failing to provide pecuniary support to the elder parents. The Union Ministry of Social Justice and Empowerment is also working hard to create the Maintenance and Welfare of Parents and Senior Citizens Rules, 2007, for a simplified system of imposing such penalties on defaulting children through their own parents under the existing bureaucratic arrangements. While not many academic inputs are available on the efficacy of



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Supporting role:
Usually, old people are taken care of by their families

such laws, it is doubtful whether many parents would go against their own children to the court for maintenance. The key to such programmes lies in the commitment of local authorities. Where disincentives may not work, incentives may do the job. In countries such as Malaysia and Singapore, there exist some financial incentives. A significant proportion of families finds themselves in the situation where they have to take care of their elderly parents and their own children and require assistance. The state may provide income tax exemption to families who take good care of the parents. The *modus operandi* may be simple: children will need an affidavit from their parents that they have been well cared for during the financial year along with income-tax returns. Priority allotment for housing and gas connections for children caring parents may also be tried.

It is also important to remember that family support may be declining in the face of structural changes such as rapid globalisation. Policies that allow older persons to retain their independence are equally important. As resources become scarce with several competing ends making claims, the state can create a nationwide Old Age Fund. All working and self-employed persons may be encouraged to open such accounts with stipulated banks, where money can only be deposited while withdrawals may be allowed after the attainment of 60 years. The government will have to ensure a minimum guaranteed rate of interest. Properly managed, such funds can create very high returns too. There is no dearth of ideas or policy programmes that can alter the lives of our seniors radically. We only need political commitment to attain the goals.

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